FINANCIAL INSTRUMENTS

Learning Outcome

- explain the financial reporting and disclosures related to financial instruments

IFRS defines a financial instrument as a contract that gives rise to a financial asset of one entity, and a financial liability or equity instrument of another entity.[4] This lesson focuses on financial assets, such as a company's investments in stocks issued by another company or its investments in the notes, bonds, or other fixed-income instruments issued by another company (or issued by a governmental entity). Financial liabilities, such as notes payable and bonds payable issued by the company, will be discussed later. Some financial instruments may be classified as either an asset or a liability depending on the contractual terms and current market conditions. One example of such a financial instrument is a derivative. **Derivatives** are financial instruments for which the value is derived based on some underlying factor (interest rate, exchange rate, commodity price, security price, or credit rating) and for which little or no initial investment is required.

Financial instruments are generally recognized when the entity becomes a party to the contractual provisions of the instrument. In general, the two basic alternative ways that financial instruments are measured subsequent to initial acquisition are fair value or amortized cost. Recall that fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly market transaction.[5] The amortized cost of a financial asset (or liability) is the amount at which it was initially recognized, minus any principal repayments, plus or minus any amortization of discount or premium, and minus any reduction for impairment.

Under IFRS, financial assets are subsequently measured at amortized cost if the asset's cash flows occur on specified dates and consist solely of principal and interest, and if the business model is to hold the asset to maturity. The concept is similar in US GAAP, where this category of asset is referred to as **held-to-maturity**. An example is an investment in a long-term bond issued by another company or by a government; the value of the bond will fluctuate, for example with interest rate movements, but if the bond is classified as a held-to-maturity investment, it will be measured at amortized cost on the balance sheet of the investing company. Other types of financial assets measured at amortized cost are loans to other companies.

For financial instruments measured at fair value, the two basic alternatives in how net changes in fair value are recognized are (1) as profit or loss on the income statement, or (2) as other comprehensive income (loss), which bypasses the income statement. Note that these alternatives refer to *unrealized* changes in fair value, that is, changes in the value of a financial asset that has not been sold and is still owned at the end of the period. Unrealized gains and losses also are referred to as holding period gains and losses. *Realized* gains or losses as a result of a sale are reported on the income statement.

Under IFRS, financial assets are subsequently measured at fair value through other comprehensive income (i.e., any unrealized holding gains or losses are recognized in other comprehensive income) if the business model's objective involves both collecting contractual cash flows and selling the financial assets. This IFRS category applies specifically to debt investments, namely assets with cash flows occurring on specified dates and consisting solely of principal and interest. However, IFRS also permits equity investments to be measured at fair value through other comprehensive income if, at the time a company buys an equity investment, the company decides to make an irrevocable election to measure the asset in this manner.[6] The concept is similar to the US GAAP investment category **available-for-sale** in which assets are measured at fair value, with

Under IFRS, financial assets are subsequently measured at fair value through profit or loss (i.e., any unrealized holding gains or losses are recognized in the income statement) if they are not assigned to either of the other two measurement categories described earlier. In addition, IFRS allows a company to make an irrevocable election at acquisition to measure a financial asset in this category. Under US GAAP, all investments in equity securities (other than investments giving rise to ownership positions that confer significant influence over the investee) are measured at fair value with unrealized holding gains or losses recognized in the income statement. Under US GAAP, debt securities designated as trading securities are also measured at fair value with unrealized holding gains or losses recognized in the income statement. The trading securities category pertains to a debt security that is acquired with the intent of selling it rather than holding it to collect the interest and principal payments.

Rate Your Confidence

Category
Analyzing Balance Sheets

Exhibit 4 summarizes how various financial assets are classified and measured subsequent to acquisition.

Exhibit 4:

Measurement of Financial Assets

Measured at Cost or Amortized Cost	Measured at Fair Value through Other Comprehensive Income	Measured at Fair Value through Profit and Loss
▪ Debt securities that are to be held to maturity. ▪ Loans and notes receivable ▪ Unquoted equity instruments (in limited circumstances in which the fair value is not reliably measurable, cost may serve as a proxy [estimate] for fair value)	▪ "Available-for-sale" debt securities (US GAAP); debt securities for which the business model involves both collecting interest and principal and selling the security (IFRS) ▪ Equity investments for which the company irrevocably elects this measurement at acquisition (IFRS only)	▪ All equity securities unless the investment gives the investor significant influence (US GAAP only) ▪ "Trading" debt securities (US GAAP) ▪ Securities not assigned to either of the other two categories, or investments for which the company irrevocably elects this measurement at acquisition (IFRS only)

To illustrate the different accounting treatments of the gains and losses on financial assets, consider an entity that invests EUR100,000,000 on 1 January 202X in a fixed-income security investment, with a 5 percent coupon paid semi-annually. After six months, the company receives the first coupon payment of EUR2,500,000. Additionally, market interest rates have declined such that the value of the fixed-income investment has increased by EUR2,000,000 as of 30 June 202X. Exhibit 5 illustrates how this situation will be portrayed on the balance sheet and income statement (ignoring taxes) of the entity concerned, under each of the following three measurement categories of financial assets: assets held for trading purposes, assets available for sale, and held-to-maturity assets.

Exhibit 5:

Accounting for Gains and Losses on Marketable Securities

US GAAP Comparable Categories	*Held to Maturity*	*Available-for-Sale Debt Securities*	*Trading Debt Securities*
Income Statement for period 1 January–30 June 202X			
Interest income	2,500,000	2,500,000	2,500,000
Unrealized gains	—	—	2,000,000
Impact on profit and loss	2,500,000	2,500,000	4,500,000
Balance Sheet as of 30 June 202X			
Assets			
Cash and cash equivalents	2,500,000	2,500,000	2,500,000
Cost of securities	100,000,000	100,000,000	100,000,000
Unrealized gains on securities	—	2,000,000	2,000,000
	102,500,000	104,500,000	104,500,000
Liabilities			
Equity			
Paid-in capital	100,000,000	100,000,000	100,000,000
Retained earnings	2,500,000	2,500,000	4,500,000
Accumulated other comprehensive income	—	2,000,000	—
	102,500,000	104,500,000	104,500,000

Rate Your Confidence

Category

Analyzing Balance Sheets

In the case of securities classified as Measured at Cost or Amortized Cost, or equivalently held-to-maturity (US GAAP), the income statement shows only the interest income (which is then reflected in retained earnings on the ending balance sheet). Because the securities are measured at cost rather than at fair value, no unrealized gain is recognized. On the balance sheet, the investment asset is shown at its amortized cost of EUR100,000,000.

In the case of securities classified as Measured at Fair Value through Other Comprehensive Income (IFRS), or equivalently as Available-for-Sale debt securities (US GAAP), the income statement shows only the interest income (which is then reflected in retained earnings on the ending balance sheet). The unrealized gain does not appear on the income statement; instead, it would appear on a Statement of Comprehensive Income as Other Comprehensive Income. On the balance sheet, the investment asset is shown at its fair value of EUR102,000,000. (Exhibit 5 shows the unrealized gain on a separate line solely to highlight the impact of the change in value. In practice, the investments would be shown at their fair value on a single line.) In the case of securities classified as Measured at Fair Value through Profit and Loss (IFRS), or equivalently as trading debt securities (US GAAP), both the interest income and the unrealized gain are included on the income statement and thus are reflected in retained earnings on the balance sheet.

From the information presented in Exhibits 2 and 6, SAP's 2017 balance sheet shows other financial assets of EUR990 million (current, Exhibit 6) and EUR1,155 million (non-current, Exhibit 2). The company's notes disclose that the largest component of the current financial assets are loans and other financial receivables (EUR793 million) and the largest component of the non-current financial assets is EUR827 million of available-for-sale equity investments.

Exhibit 6:

Rate Your Confidence

	As of 31 December	
Assets	**2017**	**2016**
Cash and cash equivalents	€4,011	€3,702
Other financial assets	990	1,124
Trade and other receivables	5,899	5,924
Other non-financial assets	725	581
Tax assets	306	233
Total current assets	11,930	11,564
Total non-current assets	30,567	32,713
Total assets	**42,497**	**44,277**
Total current liabilities	10,210	9,674
Total non-current liabilities	6,747	8,205
Total liabilities	16,958	17,880
Total equity	25,540	26,397
Total equity and liabilities	**€42,497**	**€44,277**

Source: SAP Group 2017 annual report.

Category

Analyzing Balance Sheets

Exhibit 7:

Apple, Inc. Consolidated Balance Sheets (Excerpt: Current Assets Detail) (in millions of US dollars)

Assets	**30 September, 2017**	**24 September, 2016**
Cash and cash equivalents	$20,289	$20,484
Short-term marketable securities	53,892	46,671
Accounts receivable, less allowances of $58 and $53, respectively	17,874	15,754
Inventories	4,855	2,132
Vendor non-trade receivables	17,799	13,545
Other current assets	13,936	8,283
Total current assets	128,645	106,869
[All other assets]	*246,674*	*214,817*
Total assets	**375,319**	**321,686**
Total current liabilities	100,814	79,006
[Total non-current liabilities]	*140,458*	*114,431*
Total liabilities	241,272	193,437
Total shareholders' equity	134,047	128,249
Total liabilities and shareholders' equity	**$375,319**	**$321,686**

Note: The italicized subtotals presented in this excerpt are not explicitly shown on the face of the financial statement as prepared by the company.

Source: Apple Inc. 2017 annual report (Form 10K).

In Exhibits 3 and 7, Apple's 2017 balance sheet shows USD53,892 million of short-term marketable securities (current, Exhibit 7) and USD194,714 million of long-term marketable securities (non-current, Exhibit 3). In total, marketable securities represent more than 66 percent of Apple's USD375.3 billion in total assets. Marketable securities plus cash and cash equivalents represent around 72 percent of the company's total assets. Apple's notes disclose that most of the company's marketable securities are fixed-income securities issued by the US government or its agencies (USD60,237 million) and by other companies, including commercial paper (USD153,451 million). In accordance with its investment policy, Apple invests in highly rated securities (which the company defines as

No messages to display

© 2025 CFA Institute. All Rights Reserved.

Rate Your Confidence

Category

Analyzing Balance Sheets

Rate Your Confidence

Category

Analyzing Balance Sheets

Rate Your Confidence

Category

Analyzing Balance Sheets

Rate Your Confidence

Category

Analyzing Balance Sheets